

An Act

ENROLLED SENATE
BILL NO. 1530

By: Thompson of the Senate

and

Moore of the House

An Act relating to state government; amending Section 1, Chapter 348, O.S.L. 2025 (74 O.S. Supp. 2025, Section 5091), which relates to the Oklahoma Research and Development Rebate Fund; modifying definitions; authorizing increase in certain rebate amount under specified condition; modifying certain rule promulgation authority; imposing certain duties on the Oklahoma Department of Commerce; updating statutory references; and providing an effective date.

SUBJECT: Research and development fund

BE IT ENACTED BY THE PEOPLE OF THE STATE OF OKLAHOMA:

SECTION 1. AMENDATORY Section 1, Chapter 348, O.S.L. 2025 (74 O.S. Supp. 2025, Section 5091), is amended to read as follows:

Section 5091. A. As used in this section:

1. "Qualified research expenditures" means ~~the amount of qualified research expenses claimed on line 9 or line 28 of federal Form 6765 (Rev. December 2023) or the relevant line number of federal Form 6765 in effect for the applicable tax year for expenses incurred in this state~~ research and development expenses occurring in the state that follow generally accepted accounting principles established by the Financial Accounting Standards Board; and

2. "Research and development" has the same meaning as defined by the Financial Accounting Standards Board in the Accounting Standards Codification. Research and development does not include:

- a. routine product testing or quality control,
- b. management or market research,
- c. literary or artistic projects including films or publications,
- d. exploration for natural resources,
- e. software or computer systems integration, or
- f. application of existing knowledge and processes to architectural or civil engineering projects.

B. There is hereby created in the State Treasury a revolving fund for the Oklahoma Department of Commerce to be designated the "Oklahoma Research and Development Rebate Fund". The fund shall be a continuing fund, not subject to fiscal year limitations, and shall consist of all monies appropriated to the Department that are designated for deposit in the fund. Monies appropriated to this fund shall be expended to reimburse qualifying establishments for qualified research expenditures.

C. There is hereby created a research and development rebate program for the cost of qualified research expenditures by establishments.

D. The investment rebate program shall be administered by the Oklahoma Department of Commerce.

E. To be eligible for consideration for a research and development rebate payment awarded under the provisions of this ~~act~~ section, the establishment shall:

1. Submit an application and documentation to the Department, as required by the Department;

2. Provide documentation as required by the Department to determine that the research and development expenditures occurred within this state; and

3. Have filed all Oklahoma tax returns as required by law.

F. Claims for rebate approved by the Department shall be equal to five percent (5%) of qualified research expenditures of the establishment. A rebate amount may increase by two percent (2%) when the establishment partners with an institution of higher education in the state.

G. Claims for rebate approved by the Department shall be paid in the order that they are received. Total claims approved for rebate shall not exceed the balance of the Oklahoma Research and Development Rebate Fund. In no event shall claims approved for rebate exceed Twenty Million Dollars (\$20,000,000.00) in any fiscal year.

H. If the amount of a claim exceeds the amount available in the Oklahoma Research and Development Rebate Fund or the fiscal year limitation provided in subsection G of this section, the payment may be made in a prorated amount. Claims for rebate not approved by the Department due to the limitations provided in subsection G of this section may be approved and paid in subsequent fiscal years.

I. The Oklahoma Department of Commerce ~~may~~ shall promulgate rules to effectuate the provisions of this section, including an annual application process.

J. The Department shall be the determiner for qualification of expenses and activities associated with the research and development rebate.

K. The Department shall annually publish on its website information detailing the return on investment of this rebate to the state, including, but not limited to, establishments receiving the rebate, the project, the industry of the establishment, and institution of higher education information partnered with the establishment if applicable.

SECTION 2. This act shall become effective November 1, 2026.

Passed the Senate the 11th day of March, 2026.

Presiding Officer of the Senate

Passed the House of Representatives the 13th day of April, 2026.

Presiding Officer of the House
of Representatives

OFFICE OF THE GOVERNOR

Received by the Office of the Governor this _____

day of _____, 20_____, at _____ o'clock _____ M.

By: _____

Approved by the Governor of the State of Oklahoma this _____

day of _____, 20_____, at _____ o'clock _____ M.

Governor of the State of Oklahoma

OFFICE OF THE SECRETARY OF STATE

Received by the Office of the Secretary of State this _____

day of _____, 20_____, at _____ o'clock _____ M.

By: _____